4. Debt equity ratio is a measure of

(a) Short term solvency (b) Long term solvency

(c) Profitability (d) Efficiency

5. Match List I with List II and select the correct answer using the codes given below:

List I	List II
(i) Current ratio	1. Liquidity
(ii) Net profit ratio	2. Efficiency
(iii) Debt-equity ratio	3. Long term solvency
(iv) Inventory turnover ratio	4. Profitability

Codes:

	(i)	(ii)	(iii)	(iv)
(a)	1	4	3	2
(b)	3	2	4	1
(c)	4	3	2	1
(d)	1	2	3	4

6. To test the liquidity of a concern, which of the following ratios are useful?

(i) Quick ratio

(ii) Net profit ratio

(iii) Debt-equity ratio

(iv) Current ratio

Select the correct answer using the codes given below:

(a) (i) and (ii) (b) (i) and (iv) (c) (ii) and (iii) (d) (ii) and (iv)

7. Proportion of share holders' funds to total assets is called

(a) Proprietary ratio (b) Capital gearing ratio

(c) Debt equity ratio (d) Current ratio

8. Which one of the following is not correctly matched?

(a) Liquid ratio – Proportion

(b) Gross profit ratio – Percentage

(c) Fixed assets turnover ratio – Percentage

(d) Debt-equity ratio – Proportion

9. Current liabilities ₹ 40,000; Current assets ₹ 1,00,000 ; Inventory ₹ 20,000 . Quick ratio is

(a) 1:1 (b) 2.5:1 (c) 2:1 (d) 1:2

10. Cost of revenue from operations ₹ 3,00,000; Inventory in the beginning of the year ₹ 60,000; Inventory at the close of the year ₹ 40,000. Inventory turnover ratio is

(a) 2 times (b) 3 times (c) 6 times (d) 8 times

Answers:	**1. (b)**	**2. (a)**	**3. (d)**	**4. (b)**	**5. (a)**	**6. (b)**	**7.(a)**	**8. (c)**	**9. (c)**	**10.(c)**

II Very short answer questions

1. What is meant by accounting ratios?

2. What is quick ratio?

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